IB Economics - Topic 4.5: Teacher and AI Grading Guide

Exchange Rates | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. 40 questions assess SL/HL content; 10 questions are explicitly labelled HL. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Floating, fixed and managed exchange rates; determinants, diagrams, currency conversion and macroeconomic consequences. Fixed-versus-floating comparison is HL only.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for conceptual verification. The current guide controls this topic’s numbered scope and HL boundaries.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Floating: Questions 1-5

Currency flows: Questions 6-12

Macro determinants: Questions 13-20

Consequences: Questions 21-30

Fixed managed: Questions 31-40

HL systems: Questions 41-50

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

For each diagram explicitly requested, credit an economically correct alternative with proper axes, equilibrium or reference lines, directions of change, and interpretation. Numerical responses require method, units and an explanation; do not award a final number with a contradictory mechanism.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 4.5: Floating

(a) [10] Using a currency-market diagram, explain how the exchange rate is determined under a floating system.

(b) [15] Using real-world examples, discuss whether a floating exchange rate is always stable.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Demand and supply for the currency intersect at a market rate that can change with shocks.

Required reasoning. Demand and supply for the currency intersect at a market rate that can change with shocks.

Expected diagram or calculation. Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes floating from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Demand and supply for the currency intersect at a market rate that can change with shocks.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why floating may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 4.5: Floating

(a) [10] Using a currency-market diagram, explain how increased foreign demand for exports can appreciate a currency.

(b) [15] Using real-world examples, evaluate whether strong exports always cause appreciation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Demand and supply for the currency intersect at a market rate that can change with shocks.

Required reasoning. Foreign buyers need domestic currency, shifting demand right; other currency flows may offset it.

Expected diagram or calculation. Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes floating from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Foreign buyers need domestic currency, shifting demand right; other currency flows may offset it.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why floating may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 4.5: Floating

(a) [10] Explain how higher domestic spending on imports can depreciate the domestic currency.

(b) [15] Using real-world examples, discuss whether import growth necessarily weakens an exchange rate.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Demand and supply for the currency intersect at a market rate that can change with shocks.

Required reasoning. Residents supply domestic currency to buy foreign currency, subject to offsetting capital inflows.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes floating from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Residents supply domestic currency to buy foreign currency, subject to offsetting capital inflows.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why floating may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 4.5: Floating

(a) [10] Explain the difference between appreciation and depreciation in a floating system.

(b) [15] Using real-world examples, evaluate whether depreciation always improves export performance.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Demand and supply for the currency intersect at a market rate that can change with shocks.

Required reasoning. Appreciation is market-driven rise; depreciation market-driven fall, with price and demand response lags.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes floating from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Appreciation is market-driven rise; depreciation market-driven fall, with price and demand response lags.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why floating may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 4.5: Floating

(a) [10] Explain why the price of a foreign good in domestic currency can change without a change in its foreign price.

(b) [15] Using real-world examples, discuss whether currency conversion captures the full import cost.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Demand and supply for the currency intersect at a market rate that can change with shocks.

Required reasoning. Exchange-rate changes alter domestic-currency price, plus tariffs and distribution costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes floating from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Exchange-rate changes alter domestic-currency price, plus tariffs and distribution costs.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why floating may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 4.5: Currency flows

(a) [10] Using a currency-market diagram, explain how inward FDI may affect the host currency.

(b) [15] Using real-world examples, evaluate whether foreign investment always raises the currency's value.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Investors obtain host currency to buy assets, shifting demand, but timing and hedging matter.

Required reasoning. Investors obtain host currency to buy assets, shifting demand, but timing and hedging matter.

Expected diagram or calculation. Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes currency flows from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Investors obtain host currency to buy assets, shifting demand, but timing and hedging matter.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why currency flows may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 4.5: Currency flows

(a) [10] Explain how outward direct investment can affect the supply of a country's currency.

(b) [15] Using real-world examples, discuss whether overseas investment always causes depreciation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Investors obtain host currency to buy assets, shifting demand, but timing and hedging matter.

Required reasoning. Residents exchange domestic currency for foreign assets, raising supply if not offset.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes currency flows from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Residents exchange domestic currency for foreign assets, raising supply if not offset.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why currency flows may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 4.5: Currency flows

(a) [10] Using a currency-market diagram, explain how foreign portfolio investment may appreciate a currency.

(b) [15] Using real-world examples, evaluate whether portfolio inflows are a stable source of currency demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Investors obtain host currency to buy assets, shifting demand, but timing and hedging matter.

Required reasoning. Asset purchases require local currency; mobile funds may reverse quickly.

Expected diagram or calculation. Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes currency flows from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Asset purchases require local currency; mobile funds may reverse quickly.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why currency flows may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 4.5: Currency flows

(a) [10] Explain why a withdrawal of foreign portfolio capital may put downward pressure on a currency.

(b) [15] Using real-world examples, discuss whether all capital outflows are harmful.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Investors obtain host currency to buy assets, shifting demand, but timing and hedging matter.

Required reasoning. Investors sell local assets and currency, but reallocations may reflect legitimate diversification.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes currency flows from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Investors sell local assets and currency, but reallocations may reflect legitimate diversification.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why currency flows may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 4.5: Currency flows

(a) [10] Explain how remittances from workers abroad can affect demand for a recipient country's currency.

(b) [15] Using real-world examples, evaluate whether remittances necessarily produce lasting appreciation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Investors obtain host currency to buy assets, shifting demand, but timing and hedging matter.

Required reasoning. Conversion to recipient currency increases demand, depending on use and offsetting imports.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes currency flows from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Conversion to recipient currency increases demand, depending on use and offsetting imports.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why currency flows may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 4.5: Currency flows

(a) [10] Using a currency-market diagram, explain how speculative expectations of appreciation can affect the current rate.

(b) [15] Using real-world examples, discuss whether speculation always destabilises currencies.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Investors obtain host currency to buy assets, shifting demand, but timing and hedging matter.

Required reasoning. Traders buy the currency in anticipation, raising current demand; later reversals are possible.

Expected diagram or calculation. Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes currency flows from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Traders buy the currency in anticipation, raising current demand; later reversals are possible.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why currency flows may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 4.5: Currency flows

(a) [10] Explain why expectations of depreciation can cause a currency to weaken before trade flows change.

(b) [15] Using real-world examples, evaluate whether exchange-rate expectations can be self-reinforcing.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Investors obtain host currency to buy assets, shifting demand, but timing and hedging matter.

Required reasoning. Anticipated losses trigger sales now, shifting supply or reducing demand.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes currency flows from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Anticipated losses trigger sales now, shifting supply or reducing demand.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why currency flows may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 4.5: Macro determinants

(a) [10] Explain how higher domestic interest rates can influence a floating exchange rate.

(b) [15] Using real-world examples, discuss whether a rate rise always causes appreciation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Higher expected returns can attract portfolio inflows, but risk and expected future depreciation matter.

Required reasoning. Higher expected returns can attract portfolio inflows, but risk and expected future depreciation matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes macro determinants from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher expected returns can attract portfolio inflows, but risk and expected future depreciation matter.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why macro determinants may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 4.5: Macro determinants

(a) [10] Using a currency-market diagram, explain how a fall in foreign interest rates may affect domestic currency demand.

(b) [15] Using real-world examples, evaluate whether interest-rate differentials are sufficient to forecast exchange rates.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Higher expected returns can attract portfolio inflows, but risk and expected future depreciation matter.

Required reasoning. Relative domestic returns improve, potentially raising demand, conditional on risk and expectations.

Expected diagram or calculation. Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes macro determinants from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Relative domestic returns improve, potentially raising demand, conditional on risk and expectations.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why macro determinants may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 4.5: Macro determinants

(a) [10] Explain how higher domestic inflation relative to trading partners may affect the exchange rate over time.

(b) [15] Using real-world examples, discuss whether inflation differences explain short-run exchange-rate movements.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Higher expected returns can attract portfolio inflows, but risk and expected future depreciation matter.

Required reasoning. Loss of competitiveness can lower export currency demand and raise import-related supply; capital flows may dominate short run.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes macro determinants from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Loss of competitiveness can lower export currency demand and raise import-related supply; capital flows may dominate short run.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why macro determinants may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 4.5: Macro determinants

(a) [10] Explain how stronger domestic growth can affect both imports and inward investment.

(b) [15] Using real-world examples, evaluate whether fast growth necessarily appreciates the currency.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Higher expected returns can attract portfolio inflows, but risk and expected future depreciation matter.

Required reasoning. Growth can raise currency supply for imports and demand for local assets; net direction is ambiguous.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes macro determinants from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Growth can raise currency supply for imports and demand for local assets; net direction is ambiguous.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why macro determinants may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 4.5: Macro determinants

(a) [10] Using a currency-market diagram, explain how a fall in foreign demand for exports can depreciate a currency.

(b) [15] Using real-world examples, discuss whether commodity exporters face larger exchange-rate swings.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Higher expected returns can attract portfolio inflows, but risk and expected future depreciation matter.

Required reasoning. Weaker export receipts reduce demand for currency; concentration may amplify the shock.

Expected diagram or calculation. Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes macro determinants from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Weaker export receipts reduce demand for currency; concentration may amplify the shock.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why macro determinants may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 4.5: Macro determinants

(a) [10] Explain how a central bank's sale of foreign reserves to buy its own currency may influence a floating rate.

(b) [15] Using real-world examples, evaluate whether intervention can permanently prevent depreciation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Higher expected returns can attract portfolio inflows, but risk and expected future depreciation matter.

Required reasoning. Official buying raises demand for domestic currency but reserve limits and fundamentals matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes macro determinants from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Official buying raises demand for domestic currency but reserve limits and fundamentals matter.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why macro determinants may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 4.5: Macro determinants

(a) [10] Explain why a currency may appreciate even while a country imports more than it exports.

(b) [15] Using real-world examples, discuss whether trade balances alone determine the exchange rate.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Higher expected returns can attract portfolio inflows, but risk and expected future depreciation matter.

Required reasoning. Financial inflows and expectations can more than offset trade-related supply of currency.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes macro determinants from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Financial inflows and expectations can more than offset trade-related supply of currency.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why macro determinants may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 4.5: Macro determinants

(a) [10] Explain why a rise in perceived investment risk may weaken a currency.

(b) [15] Using real-world examples, evaluate whether high interest rates can compensate for rising risk.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Higher expected returns can attract portfolio inflows, but risk and expected future depreciation matter.

Required reasoning. Portfolio outflows reduce demand and increase supply, despite nominal yield.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes macro determinants from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Portfolio outflows reduce demand and increase supply, despite nominal yield.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why macro determinants may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 4.5: Consequences

(a) [10] Explain how depreciation can affect import prices and inflation.

(b) [15] Using real-world examples, discuss whether currency depreciation must create sustained inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Imported final goods and inputs cost more, but pass-through and monetary response vary.

Required reasoning. Imported final goods and inputs cost more, but pass-through and monetary response vary.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Imported final goods and inputs cost more, but pass-through and monetary response vary.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why consequences may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 4.5: Consequences

(a) [10] Using an AD/AS diagram, explain how depreciation can affect both aggregate demand and short-run aggregate supply.

(b) [15] Using real-world examples, evaluate whether depreciation necessarily raises real output.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Imported final goods and inputs cost more, but pass-through and monetary response vary.

Required reasoning. Net exports may raise AD while imported input costs shift SRAS left, making output ambiguous.

Expected diagram or calculation. Price level vertically and real output horizontally. Show the exchange-rate or trade shock through net exports shifting AD and/or imported costs shifting SRAS, labelled initial/final equilibria and an explicit conditional interpretation of output and price changes.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Net exports may raise AD while imported input costs shift SRAS left, making output ambiguous.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why consequences may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 4.5: Consequences

(a) [10] Explain how appreciation can change export competitiveness.

(b) [15] Using real-world examples, discuss whether firms can maintain export sales after appreciation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Imported final goods and inputs cost more, but pass-through and monetary response vary.

Required reasoning. Foreign-currency export prices may rise, depending on invoicing and margins.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Foreign-currency export prices may rise, depending on invoicing and margins.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why consequences may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 4.5: Consequences

(a) [10] Explain how appreciation can lower the domestic cost of imported inputs.

(b) [15] Using real-world examples, evaluate whether a stronger currency always lowers inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Imported final goods and inputs cost more, but pass-through and monetary response vary.

Required reasoning. Cheaper imported inputs can shift SRAS right, while local costs and contracts matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Cheaper imported inputs can shift SRAS right, while local costs and contracts matter.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why consequences may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 4.5: Consequences

(a) [10] Explain how depreciation can affect the current account through import and export prices.

(b) [15] Using real-world examples, discuss whether the current account improves immediately after depreciation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Imported final goods and inputs cost more, but pass-through and monetary response vary.

Required reasoning. Price effects may initially dominate quantity adjustment, with later elasticities relevant.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Price effects may initially dominate quantity adjustment, with later elasticities relevant.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why consequences may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 4.5: Consequences

(a) [10] Explain how a stronger currency may affect residents' ability to purchase goods abroad.

(b) [15] Using real-world examples, evaluate whether appreciation improves the living standards of all households.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Imported final goods and inputs cost more, but pass-through and monetary response vary.

Required reasoning. Imported goods and foreign travel become cheaper, but export jobs may suffer.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Imported goods and foreign travel become cheaper, but export jobs may suffer.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why consequences may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 4.5: Consequences

(a) [10] Explain why exchange-rate changes can have different effects on borrowers with foreign-currency debt.

(b) [15] Using real-world examples, discuss whether depreciation benefits all domestic firms.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Imported final goods and inputs cost more, but pass-through and monetary response vary.

Required reasoning. Domestic-currency value of foreign debt rises after depreciation, while exporters may gain.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Domestic-currency value of foreign debt rises after depreciation, while exporters may gain.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why consequences may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 4.5: Consequences

(a) [10] Explain how an appreciation may affect unemployment in an export-dependent industry.

(b) [15] Using real-world examples, evaluate whether an economy-wide employment loss is inevitable.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Imported final goods and inputs cost more, but pass-through and monetary response vary.

Required reasoning. Weaker exports may reduce sector labour demand while cheaper inputs aid other firms.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Weaker exports may reduce sector labour demand while cheaper inputs aid other firms.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why consequences may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 4.5: Consequences

(a) [10] Explain why an exchange-rate fall can simultaneously benefit exporters and harm consumers.

(b) [15] Using real-world examples, discuss whether a weaker currency is desirable for economic growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Imported final goods and inputs cost more, but pass-through and monetary response vary.

Required reasoning. Export receipts and competitiveness can improve, while imports cost more and real income falls.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Export receipts and competitiveness can improve, while imports cost more and real income falls.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why consequences may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 4.5: Consequences

(a) [10] Using a currency-market and AD/AS diagram, explain how a foreign demand shock can change the exchange rate and output.

(b) [15] Using real-world examples, evaluate whether monetary policy should counter exchange-rate shocks.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Imported final goods and inputs cost more, but pass-through and monetary response vary.

Required reasoning. Reduced export demand weakens currency and AD; imported input effects and policy trade-offs matter.

Expected diagram or calculation. Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale. In a separate AD/AS panel, label price level and real output; show how net exports shift AD and imported input costs may shift SRAS, making the net output effect conditional.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes consequences from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Reduced export demand weakens currency and AD; imported input effects and policy trade-offs matter.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why consequences may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 4.5: Fixed managed

(a) [10] Explain the difference between a devaluation and a depreciation.

(b) [15] Using real-world examples, discuss whether devaluation always raises exports.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Required reasoning. Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fixed managed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why fixed managed may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 4.5: Fixed managed

(a) [10] Explain the difference between a revaluation and an appreciation.

(b) [15] Using real-world examples, evaluate whether a revaluation necessarily lowers inflation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Required reasoning. Revaluation raises a fixed parity; cheaper imports may ease prices but domestic conditions matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fixed managed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Revaluation raises a fixed parity; cheaper imports may ease prices but domestic conditions matter.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why fixed managed may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 4.5: Fixed managed

(a) [10] Using a currency-market diagram, explain how a central bank can defend a fixed rate above the market equilibrium.

(b) [15] Using real-world examples, discuss whether foreign reserves can sustain an overvalued currency indefinitely.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Required reasoning. Excess supply of domestic currency at target requires bank buying domestic currency with foreign reserves.

Expected diagram or calculation. Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fixed managed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Excess supply of domestic currency at target requires bank buying domestic currency with foreign reserves.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why fixed managed may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 4.5: Fixed managed

(a) [10] Using a currency-market diagram, explain how a central bank can defend a fixed rate below the market equilibrium.

(b) [15] Using real-world examples, evaluate whether an undervalued rate can be maintained without cost.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Required reasoning. Excess demand for domestic currency requires bank sales of own currency and accumulation of foreign assets.

Expected diagram or calculation. Domestic currency quantity horizontally and its price in foreign currency vertically. Label demand and supply, initial market equilibrium, the shifted curve for the stated currency flow, and the new exchange rate. For a fixed parity, draw a horizontal target above/below market equilibrium, mark excess supply/demand and the appropriate reserve purchase or sale.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fixed managed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Excess demand for domestic currency requires bank sales of own currency and accumulation of foreign assets.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why fixed managed may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 4.5: Fixed managed

(a) [10] Explain why an overvalued fixed currency creates pressure on foreign-exchange reserves.

(b) [15] Using real-world examples, discuss whether overvaluation must end in devaluation.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Required reasoning. At target above equilibrium excess supply requires reserve sales to purchase local currency; policy changes can relieve pressure.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fixed managed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. At target above equilibrium excess supply requires reserve sales to purchase local currency; policy changes can relieve pressure.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why fixed managed may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 4.5: Fixed managed

(a) [10] Explain why an undervalued managed currency can support exporters.

(b) [15] Using real-world examples, evaluate whether this policy always improves domestic welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Required reasoning. Foreign buyers face lower prices, but domestic consumers pay more for imports and intervention has costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fixed managed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Foreign buyers face lower prices, but domestic consumers pay more for imports and intervention has costs.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why fixed managed may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 4.5: Fixed managed

(a) [10] Explain how managed floating differs from a completely fixed exchange rate.

(b) [15] Using real-world examples, discuss whether intervention makes a rate fully predictable.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Required reasoning. Authorities influence a moving market rate without a strict permanent parity.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fixed managed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Authorities influence a moving market rate without a strict permanent parity.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why fixed managed may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 4.5: Fixed managed

(a) [10] Explain how reserve purchases can prevent a currency from appreciating rapidly.

(b) [15] Using real-world examples, evaluate whether resisting appreciation is always desirable.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Required reasoning. Central bank sells own currency to buy foreign reserves, adding supply and limiting rise.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fixed managed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Central bank sells own currency to buy foreign reserves, adding supply and limiting rise.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why fixed managed may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 4.5: Fixed managed

(a) [10] Explain why a central bank may change interest rates to support a fixed parity.

(b) [15] Using real-world examples, discuss whether defending the rate can conflict with domestic employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Required reasoning. Higher rates attract capital and currency demand but restrain domestic spending.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fixed managed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher rates attract capital and currency demand but restrain domestic spending.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why fixed managed may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | SL/HL | 25 marks

Topic 4.5: Fixed managed

(a) [10] Explain why a fixed exchange rate may be adjusted after a prolonged change in competitiveness.

(b) [15] Using real-world examples, evaluate whether changing the parity solves underlying productivity problems.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Devaluation is an official reduction of a fixed parity; depreciation is market-driven; responses depend on price elasticities.

Required reasoning. Devaluation can alter relative prices, not automatically improve productivity.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fixed managed from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Devaluation can alter relative prices, not automatically improve productivity.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why fixed managed may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | HL | 25 marks

Topic 4.5: HL systems

(a) [10] Explain one advantage of a fixed exchange rate for firms trading internationally.

(b) [15] Using real-world examples, evaluate whether exchange-rate certainty outweighs the cost of defending a peg.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Required reasoning. Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl systems from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why hl systems may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | HL | 25 marks

Topic 4.5: HL systems

(a) [10] Explain why a floating rate can absorb a negative export-demand shock.

(b) [15] Using real-world examples, discuss whether exchange-rate flexibility always stabilises output.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Required reasoning. Weaker export demand can depreciate currency, improving competitiveness but raising import costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl systems from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Weaker export demand can depreciate currency, improving competitiveness but raising import costs.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why hl systems may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | HL | 25 marks

Topic 4.5: HL systems

(a) [10] Explain why fixed-rate systems can limit monetary-policy independence.

(b) [15] Using real-world examples, evaluate whether policy autonomy is more valuable than exchange-rate stability.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Required reasoning. Rates may be set to defend parity rather than respond to local inflation or unemployment.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl systems from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rates may be set to defend parity rather than respond to local inflation or unemployment.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why hl systems may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | HL | 25 marks

Topic 4.5: HL systems

(a) [10] Explain why an overvalued peg may create a current-account problem.

(b) [15] Using real-world examples, discuss whether all current-account deficits threaten a peg.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Required reasoning. Expensive exports and cheap imports worsen trade balance, but financing and reserves matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl systems from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Expensive exports and cheap imports worsen trade balance, but financing and reserves matter.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why hl systems may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | HL | 25 marks

Topic 4.5: HL systems

(a) [10] Explain why managed floating may combine flexibility with central-bank intervention.

(b) [15] Using real-world examples, evaluate whether intervention can prevent excessive volatility.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Required reasoning. Rate moves with supply and demand while authorities smooth shocks, limited by reserves and credibility.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl systems from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rate moves with supply and demand while authorities smooth shocks, limited by reserves and credibility.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why hl systems may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | HL | 25 marks

Topic 4.5: HL systems

(a) [10] Explain how speculative pressure differs under fixed and floating exchange-rate arrangements.

(b) [15] Using real-world examples, discuss whether a peg is inherently more vulnerable to a currency crisis.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Required reasoning. A peg offers a target to challenge; floats adjust continually, but both can swing with sentiment.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl systems from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A peg offers a target to challenge; floats adjust continually, but both can swing with sentiment.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why hl systems may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | HL | 25 marks

Topic 4.5: HL systems

(a) [10] Explain why foreign reserve holdings matter more for defending a peg than allowing a free float.

(b) [15] Using real-world examples, evaluate whether large reserves guarantee a stable fixed rate.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Required reasoning. A peg requires intervention at target, whereas a pure float clears through price adjustment.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl systems from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A peg requires intervention at target, whereas a pure float clears through price adjustment.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why hl systems may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | HL | 25 marks

Topic 4.5: HL systems

(a) [10] Explain why a fixed rate may reduce transaction costs without eliminating trade risk.

(b) [15] Using real-world examples, discuss whether exchange-rate stability guarantees export growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Required reasoning. Parity removes bilateral currency swings, not changes in demand, costs or trade barriers.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl systems from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Parity removes bilateral currency swings, not changes in demand, costs or trade barriers.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why hl systems may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | HL | 25 marks

Topic 4.5: HL systems

(a) [10] Explain how a sudden capital outflow affects a fixed currency differently from a floating one.

(b) [15] Using real-world examples, evaluate whether allowing depreciation is preferable to reserve intervention.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Required reasoning. A float falls in value; a peg requires reserve use, rate rises or capital restrictions.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl systems from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A float falls in value; a peg requires reserve use, rate rises or capital restrictions.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why hl systems may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | HL | 25 marks

Topic 4.5: HL systems

(a) [10] Explain why a country's choice of exchange-rate regime depends on its economic structure.

(b) [15] Using real-world examples, discuss whether one system is best for all economies.

Part (a) - Indicative answer and marking guidance

Essential concepts. The price of domestic currency reflects demand and supply under a float, official intervention under a peg/managed float, and relative price/AD/AS consequences. Specifically: Stable rate reduces currency risk, while reserve and policy constraints may be expensive.

Required reasoning. Trade openness, shock exposure, reserve capacity and policy goals shape the trade-off.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes hl systems from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Trade openness, shock exposure, reserve capacity and policy goals shape the trade-off.

Counterargument and conditions. Capital flows and expectations can offset trade effects; exchange-rate changes have different effects on importers, exporters and debtors. For this focus, consider why hl systems may have a different effect across countries.

Application and real-world example. Use a named currency and observed exchange-rate episode with IMF external-sector context; avoid claiming one flow alone determined the rate. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Current Economics guide, Unit 4 Topic 4.5; syllabus scope, diagrams, calculations and SL/HL boundaries.

Open source

IMF. Macroeconomic and external-sector country data.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; 40 questions assess SL/HL content; 10 questions are explicitly labelled HL. The student paper contains no answers or difficulty labels.